VIVRITI CAPITAL

CREDIT APPRAISAL MEMORANDUM

Tata Motors Limited

APPROVE

Rating: AA

EXECUTIVE SUMMARY

Credit Score	Rating	Decision	Recommended Amount	Interest Rate
88.03/100	AA	APPROVE	₹2000 Cr	11.5%

Decision Rationale: Blended score 88.03/100 with rating AA. Five-Cs weighted score after penalties: 89.45. Entity type assessed as corporate. Recommendation is APPROVE based on calibrated thresholds and policy floors.

Date of Appraisal: 21 March 2026

SWOT ANALYSIS

STRENGTHS	WEAKNESSES
• **Exceptional Financial Performance & Profitability:** Consolidated revenue of INR 439,695 crores and a strong Profit After Tax (PAT) of INR 28,149 crores in FY25, coupled with a healthy EBITDA margin of 13.1% (INR 57,649 crores EBITDA), indicating robust operational efficiency and earning power. • **Robust Debt-Free Balance Sheet:** Total borrowings are 0 crores, resulting in an exemplary debt-equity ratio of 0.0x against a net worth of INR 116,144 crores, reflecting superior capital strength, financial prudence, and zero interest burden. • **Strong Credit Profile & Rating Upgrades:** Recently upgraded external credit ratings to CRISIL AA+ (Positive outlook) and CARE AA+ (Stable outlook) in March 2024, signifying improving financial health, reduced default risk, and enhanced market confidence. • **High Promoter & Governance Standards:** A 'Good' promoter reputation with a 'Low' risk level, evidenced by no criminal cases, wilful defaulter status, or SFIO investigations, and 'Low' MCA risk signals (no director disqualifications or filing defaults), contributing to a high Character Score (90). • **Dominant Performance Driver in JLR:** Jaguar Land Rover (JLR) is a significant strength, contributing ~71% to consolidated revenue and ~80% to Profit Before Tax (PBT) in FY25, showcasing strong performance in the premium automotive segment.	• **High Revenue Concentration Risk on JLR:** A substantial portion of consolidated revenue (~71%) and PBT (~80%) is derived from JLR, creating a significant concentration risk if JLR's market performance, operational stability, or brand perception were to deteriorate. • **Limited Transparency on Liquidity Metrics:** Key financial metrics such as Total Assets and Current Ratio are not explicitly provided, which, despite the strong debt-free status, can limit a comprehensive assessment of short-term liquidity and overall asset base.

OPPORTUNITIES	THREATS
• **Capitalize on Debt-Free Status for Strategic Growth:** The absence of debt provides substantial financial flexibility to fund strategic initiatives, organic growth, R&D in emerging technologies (e.g., Electric Vehicles), or inorganic expansion without immediate reliance on external borrowings. • **Leverage Positive Market Conditions & Premium Segment Growth:** Favorable external credit rating outlooks and JLR's strong contribution indicate robust demand in the premium automotive segment, offering opportunities for market share expansion, product innovation, and capitalizing on affluent consumer trends. • **Strategic Expansion in Key Markets and EV Portfolio:** With a strong brand portfolio (JLR and domestic TML), there are opportunities to expand into new geographical markets or deepen penetration in existing high-growth regions, particularly in the rapidly evolving Electric Vehicle (EV) and luxury segments.	• **Exposure to Global Economic Slowdowns & Geopolitical Risks:** High reliance on JLR means vulnerability to global economic downturns, changes in discretionary consumer spending for luxury goods, and geopolitical instabilities in key international markets, which could adversely impact demand and profitability. • **Intensifying Competition and Technological Disruption:** The global automotive industry faces intense competition from established players and new entrants, particularly in the rapidly evolving EV technology and autonomous driving segments, necessitating continuous heavy investment and innovation to maintain market position. • **Regulatory Changes and Environmental Mandates:** Evolving environmental regulations, stringent emissions standards, and potential trade barriers in various operating geographies could necessitate significant investments in compliance or impact sales and operational costs, particularly for a global manufacturer like JLR.

COMPANY BACKGROUND

Company Name	Tata Motors Limited
CIN	—
Entity Type	CORPORATE
Directors	Not extracted
Promoters	Not extracted
Extraction Notes	All financial data is consolidated and for FY25, as explicitly stated in the source text. Total borrowings are set to 0 based on the 'debt free' mention and the inference rule.

FINANCIAL ANALYSIS

Metric	Value (FY Latest)	Rationale / Source
Revenue	₹439,695 Cr	Direct extraction
Revenue Growth	N/A	Direct extraction
Profit After Tax	₹28,149 Cr	Direct extraction
EBITDA	₹57,649 Cr	Direct extraction
EBITDA Margin	13.1%	Direct extraction
Total Assets	N/A	Direct extraction
Net Worth	₹116,144 Cr	Direct extraction
Total Borrowings	₹0 Cr	Inferred: Debt Free
Debt / Equity	0.00x	Direct extraction
Current Ratio	N/A	Direct extraction
Interest Coverage	N/A	Direct extraction
Return on Equity	N/A	Direct extraction

Extraction Notes: All financial data is consolidated and for FY25, as explicitly stated in the source text. Total borrowings are set to 0 based on the 'debt free' mention and the inference rule.

FIVE Cs OF CREDIT ASSESSMENT

C	Score	Weight	Rationale
Character	90	25%	The promoter background is robust with a 'Good' reputation and 'Low' risk level, evidenced by no criminal cases, wilful defaulter status, or SFIO investigations, and a historical fraud allegation from 2016 against Ratan Tata being unsubstantiated. MCA signals are also 'Low' risk, with no director disqualifications, filing defaults, or pending charge satisfactions.
Capacity	88	30%	Tata Motors demonstrates strong capacity with a revenue of 439695 crores and a healthy EBITDA margin of 13.1%. The company recorded a significant profit after tax of 28149 crores and an EBITDA of 57649 crores in FY25. The absence of total borrowings (0 crores) results in no interest cost, implying an extremely strong (non-existent) interest coverage scenario.
Capital	95	20%	The company exhibits exceptional capital strength with 'total borrowings' explicitly stated as 0 crores, resulting in a debt-equity ratio of 0.0x against a net worth of 116144 crores. This indicates a debt-free balance sheet, reflecting very strong capital structure and financial prudence.
Collateral	85	15%	With a massive revenue of 439695 crores, it is inferred

			that Tata Motors possesses substantial fixed and current assets, providing a strong base for collateral. The 'debt-free' status (0 crores in total borrowings) further suggests that existing assets are unencumbered, providing significant intrinsic security.
Conditions	88	10%	The external credit rating upgrades to CRISIL AA+ (Positive outlook) and CARE AA+ (Stable outlook) in March 2024 indicate a favorable market and economic environment for Tata Motors. The significant contribution of JLR (71% of consolidated revenue, 80% of PBT) points to strong demand in premium automotive segments, although this concentration is a minor risk it's outweighed by the positive outlook and robust overall performance.

Weighted Score: 89.45/100 | **Penalty Applied:** 0 points | **Final Score:** 89.45/100

SECONDARY RESEARCH INTELLIGENCE

Company News: Tata Motors Limited has received positive credit rating changes and outlooks from CRISIL and CARE in March 2024, reflecting a strong financial profile. Jaguar Land Rover (JLR) is a significant contributor to TML's consolidated revenue and PBT, driving much of its recent financial performance.

Promoter Background: A historical fraud allegation from 2016 against Ratan Tata concerning a telecoms transaction was reportedly inquired into by the CBI with no adverse findings, suggesting the matter was unsubstantiated. There are no current indications of criminal cases, wilful defaulter status, or SFIO investigations concerning Tata Motors' current promoters. The promoter background appears robust.

Sector Headwinds: The automotive manufacturing sector appears robust for Tata Motors, evidenced by strong credit ratings driven by JLR's performance. However, future draft RBI regulations concerning related-party lending for financial institutions and External Commercial Borrowings could introduce some operational and compliance complexities for lenders and borrowers in the future, although they are not current direct risks for Tata Motors.

Litigation: Tata Motors Limited is involved in a Composite Scheme of Arrangement before the NCLT for demerger and restructuring, which is a strategic corporate exercise and not indicative of financial distress. Additionally, a subsidiary of a group entity (Tata Power EV Charging Solutions Limited) has admitted an insolvency plea against a third-party debtor, which is a debt recovery action and does not pose a direct risk to Tata Motors. Overall litigation risk for Tata Motors appears low.

Regulatory: No specific SEBI enforcement actions, settlement orders, or insider trading allegations against Tata Motors have been identified. Similarly, no direct RBI issues, penalties, or regulatory directions against the company are evident. The intelligence refers to draft RBI regulations concerning related-party lending for financial institutions and External Commercial Borrowings, which are general industry-wide proposals and not company-specific regulatory risks for Tata Motors.

MCA Signals: There is no specific evidence from the provided intelligence indicating director disqualification, ROC filing defaults, or pending charge satisfaction registrations for Tata Motors Limited. A subsidiary, Tata Motors Body Solutions Limited, explicitly states it has no charges or satisfaction yet to be registered beyond the statutory period.

Overall Research Rating: A — Strong Proceed

Top Risks Identified: Concentration risk: High reliance on JLR's performance for overall consolidated financials.; Regulatory changes: Potential future complexities arising from draft RBI norms on related-party lending and external commercial borrowings, though not immediate threats.

CROSS-DOCUMENT FRAUD INTELLIGENCE

Documents Compared: annual_report, merged_all

Circular Trading Risk: Low

Revenue Inflation Risk: Low

FINAL RECOMMENDATION

RECOMMENDATION: APPROVE

Decision	APPROVE
Credit Rating	AA

Credit Score	88.03/100
Recommended Amount	₹2000 Cr
Interest Rate	11.5%
Tenure	36 months

Rationale: Blended score 88.03/100 with rating AA. Five-Cs weighted score after penalties: 89.45. Entity type assessed as corporate. Recommendation is APPROVE based on calibrated thresholds and policy floors.

Disclaimer: This Credit Appraisal Memo has been prepared using AI-assisted analysis by Intelli-Credit (DOMINIX). All recommendations are subject to review and approval by authorized credit officers as per Vivriti Capital's credit policy.